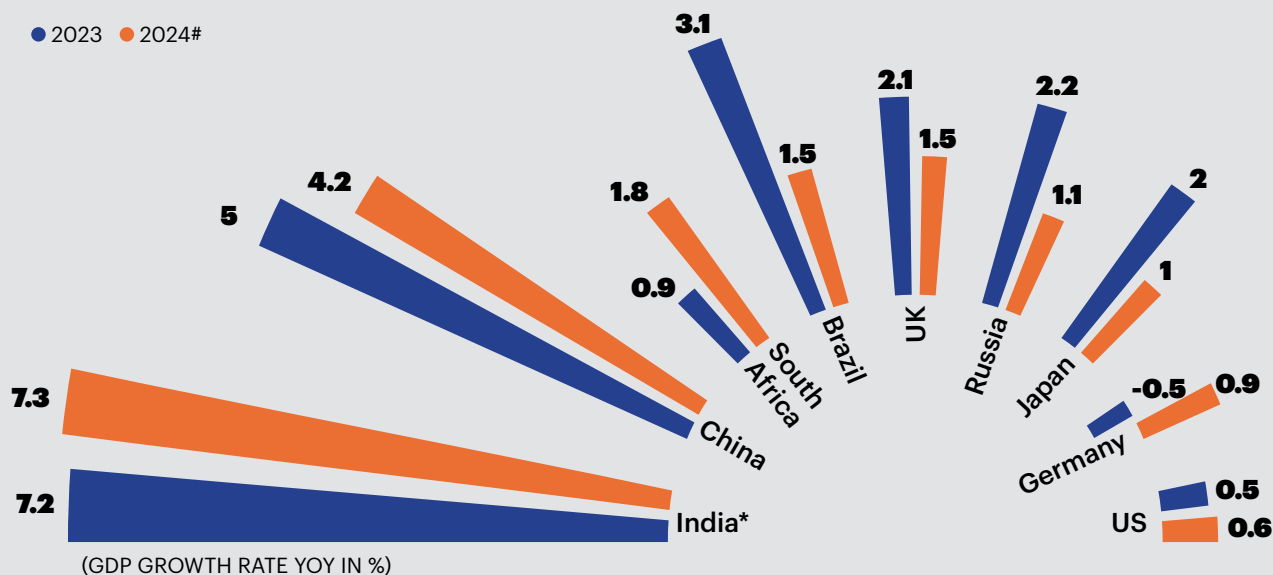


SHINING BRIGHT

▶ India is seen to be the fastest-growing economy in the world ▶ The high growth rate comes even when the global outlook is muted



FIGURES INDICATE GDP GROWTH OF SOME OF THE MAJOR ECONOMIES; *DATA FOR FY23 AND FY24 (PROJECTED); #PROJECTION **SOURCE** BY INDIA, IMF WORLD ECONOMIC OUTLOOK OCTOBER 2023, MoSPI

sovereign credit profile,” he says.

In a recent report, brokerage Morgan Stanley also highlighted India’s strong fundamentals. It said that the country’s nominal GDP growth will accelerate to 11.6% this year, making it the third consecutive year that India’s nominal GDP growth will be the strongest in Asia. India’s contribution to Asian and global growth will rise to 30% and 17%, respectively, up from 28% and 16% in 2023. “Over the medium term, our Chief India Economist Upasana Chachra forecasts that real GDP growth will average 6.3% until FY32,” it noted. The brokerage expects the investment to GDP ratio to rise to 33.5% by FY25, and to 36% by FY27.

CHALLENGES AHEAD

However, it’s not all smooth sail-

ing. Despite continuous efforts by successive governments, challenges remain. More reforms are needed to further improve the ease of doing business by ensuring faster regulatory clearances, say experts. The notification of the long-pending four Labour Codes, further land reforms, a national e-commerce policy as well as regulation of the digital economy are some of the pending items on the policy reform table.

Arun Singh, Global Chief Economist at research firm Dun & Bradstreet, points out that India is well on its way to becoming a \$5-trillion economy. “We should now target becoming a \$10-trillion economy. For this, a lot more capital and reforms are needed to bring in global investors,” he says. India still needs to improve its

physical infrastructure and raise the foreign investment ceiling in various sectors as well as privatise the non-performing, non-strategic central public sector undertakings, he says.

“Land and labour reforms also have to be taken forward. The government needs to review the administrative machinery to ensure faster clearances. The Insolvency and Bankruptcy Code needs to be reviewed for quicker resolutions. We need to create more formal sector jobs and improve the LFPR (labour force participation rate), especially with regard to the female workforce. More MSMEs have to be brought into the formal economy,” says Singh, adding that some of these reforms are structural in nature and could take longer than five years.